

13 Apr 2026 03:59:36 ET | 31 pages

North America Electronic Components & Equipment

Stronger for Longer – Storage Demand Durability Drives Estimates and Price Targets Higher

CITI'S TAKE

We update STX, WDC and SNDK estimates and TPs on continuation of solid supply/demand dynamics and improving pricing dynamics. AI demand continues to drive higher content creation, and is accelerating the generation of unstructured data, then stored, duplicated and versioned across collaboration platforms. Any improvements in KV caching are expected to further improve memory bottlenecks and drive growth in inferencing/storage. [Recent discussions](#) with HDD industry expert suggest sustained pricing momentum amidst widening supply/demand, which should mitigate any potential cyclical impacts further out. We reiterate Buy ratings for STX and WDC on a higher 21x PE applied to CY27 estimates, reflecting more durable pricing and demand datapoints, resulting in STX TP \$595 (\$480 prior) and WDC TP \$405 (\$335 prior). We remain constructive on SNDK following [recent investor meetings](#) and intra-quarter NAND memory price updates; we lift our estimates and TP to \$980 (\$875 prior). See inside for company-specific details.

Downside risks — Prolonged geopolitical conflicts, macro-induced disruptions, and rising costs of energy and base materials.

Asiya Merchant, CFA^{AC}

+1-415-951-1752

asiya.merchant@citi.com

Michael Cadiz

+1-415-951-1671

michael.cadiz@citi.com

															Current Fiscal Year		Next Fiscal Year	
Company	Ticker	Ccy	Price	Mkt Cap (M)	Date & Time	Rating		Short-Term View	Target Price		ESPR (%)	Div Yld (%)	ETR (%)	Last Rpt Yr	EPS		EPS	
						Old	New		Old	New					Old	New	Old	New
Sandisk Corp	SNDK	US\$	851.77	125,722	10 Apr 16:00	1	nc	Upside	875.00	980.00	15.1	0.0	15.1	Jun-25	42.65	46.74	101.92	120.33
Seagate Technology Holdings Plc	STX	US\$	503.04	112,694	10 Apr 16:00	1	nc	Upside	480.00	595.00	18.3	0.6	18.9	Jun-25	13.03	13.39	21.81	23.22
Western Digital Corp	WDC	US\$	343.49	116,456	10 Apr 16:00	1	nc	Upside	335.00	405.00	17.9	0.1	18.1	Jun-25	9.01	9.21	14.79	15.62

1 = Buy, 2 = Neutral, 3 = Sell, H = High Risk
Source: Citi Research

ESPR = Expected Share Price Return, ETR = Expected Total Return, nc = no change
^Catalyst Watch

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Earnings Estimates

Company Name	Ticker	Last Rpt Year	Currency	Last Reported Year					Current Fiscal Year					Next Fiscal Year				
				1Q	2Q	3Q	4Q	FY0	1Q	2Q	3Q	4Q	FY1	1Q	2Q	3Q	4Q	FY2
Sandisk Corp	SNDK	Jun-25	US\$	1.81	0.99	-0.30	0.29	2.79	1.21	6.20	13.97	24.79	46.74	32.12	33.85	26.93	27.43	120.33
Old		Jun-25	US\$	1.81	0.99	-0.30	0.29	2.79	1.21	6.20	13.97	20.76	42.65	25.64	28.12	23.88	24.28	101.92
Seagate Technology Holdings Plc	STX	Jun-25	US\$	1.58	2.03	1.90	2.59	8.11	2.61	3.11	3.52	4.11	13.39	4.90	5.55	5.91	6.88	23.22
Old		Jun-25	US\$	1.58	2.03	1.90	2.59	8.11	2.61	3.11	3.40	3.88	13.03	4.69	5.26	5.50	6.38	21.81
Western Digital Corp	WDC	Jun-25	US\$	0.77	1.20	1.36	1.66	4.99	1.78	2.13	2.42	2.85	9.21	3.20	3.66	4.14	4.63	15.62
Old		Jun-25	US\$	0.77	1.20	1.36	1.66	4.99	1.78	2.13	2.35	2.73	9.01	3.02	3.47	3.90	4.41	14.79

Source: Citi Research

Sandisk Corp (SNDK.O)

Buy | TP US\$980.00 from US\$875.00 | Price US\$851.77 (10 Apr 26 16:00)

We maintain our Buy rating on SNDK shares and raise our target price to \$980, from \$875 prior, on unchanged 9x CY27 estimates on confidence in continued hyperscaler demand strength and subsequent NAND demand durability given early yet significant expansion of AI workloads, plus limited unit production and highly disciplined capital investment strategy, supportive of very favorable pricing and ultimately earnings, and FCF generation. The company expects to report earnings on April 30.

We very recently [hosted SNDK's CEO/CFO/IR for investor meetings](#) where mgmt was highly confident in NAND demand durability on continued datacenter demand strength and expanding AI workloads. Meanwhile, the company additionally is pursuing longer-term efforts to secure increasingly higher-visibility and higher-quality customer contracts (ideally with defined pricing element) to smooth historical cycle volatility. Moreover, we believe pricing has not yet peaked, with industry data pointing to strong near-term ASP increases. Customer price discovery remains underway and, to us, this suggests pricing has room to tick up further. As of late March we note that TrendForce expects C2Q total NAND ASPs to rise 70-75%qq following an 85-90%qq rise in the prior quarter, while Citi expectations for NAND ASP also increased following upside surprise in the prelim earnings announcement at a memory peer.

We remain constructive on an extremely favorable supply/demand environment with indications of longer-term persistence. Additionally, the company's \$1B private investment in Nanya secures multi-year DRAM supply ahead of its mid-CY26 eSSD ramp, the qualifications for which support further incremental demand visibility and confidence. Finally, recent TurboQuant news is viewed by mgmt as supportive of broader AI adoption and, consequently, incrementally stronger storage demand.

Figure 1. Citi Current (Top) and Prior (Bottom) NAND ASP Projection by Application

NAND ASP Projection by Application

	2025				YoY	2026				YoY
	1Q	2Q	3Q	4Q		1Q	2Q	3Q	4Q	
SSD	-7%	2%	5%	31%	+21%	70%	60%	17%	5%	+242%
Mobile	-13%	3%	0%	11%	-16%	55%	25%	5%	1%	+106%
USB& Others	-14%	8%	2%	20%	-6%	63%	40%	12%	3%	+167%
NAND ASP QoQ	-11%	3%	3%	21%	3%	63%	43%	11%	3%	+172%

NAND ASP Projection by Application

	2025				YoY	2026				YoY
	1Q	2Q	3Q	4Q		1Q	2Q	3Q	4Q	
SSD	-7%	2%	5%	31%	+21%	50%	35%	10%	5%	+153%
Mobile	-13%	3%	0%	11%	-16%	51%	25%	5%	2%	+101%
USB& Others	-14%	8%	2%	20%	-6%	47%	30%	6%	1%	+119%
NAND ASP QoQ	-11%	3%	3%	21%	3%	50%	30%	7%	3%	+127%

Source: Citi Research (Peter Lee)

Figure 2. Industry NAND Commentary

	4Q25	1Q26E	2Q26E	3Q26E	2026
TrendForce	ASPs +33-38%	ASPs +85-90%	ASPs +70-75%	ASPs +8-13%	Pricing momentum to remain strong throughout 2026

Source: TrendForce

Figure 3. Estimates vs Street

(in \$ millions, except for %, ASP, and EPS)	Q3-26E				Q4-26E			2026E			2027E		
	Mar-26				Jun-26			FY			FY		
	Citi	Prior	Street	Guidance	Citi	Prior	Street	Citi	Prior	Street	Citi	Prior	Street
Bit growth q/q	(4.8%)	(4.8%)			5.0%	5.0%		22.7%	22.7%		17.5%	17.5%	
ASP/GB qq	60.0%	60.0%			40.0%	35.0%		85.2%	75.6%		73.6%	51.4%	
Total Revenue	4,608	4,608	4,625	4400-4800	6,773	6,531	5,952	16,714	15,843	15,823	34,095	28,196	28,253
Change Q/Q	52.3%	52.3%			47.0%	41.8%							
Change Y/Y	171.8%	171.8%			256.3%	243.6%		127.2%	115.4%		104.0%	78.0%	
GM w/charges	66.0%	66.0%	64.8%	65-67%	75.0%	72.5%	69.2%	62.0%	60.3%	58.5%	73.1%	74.8%	70.4%
Opex	461	461	386	450-470	525	506	224	1,844	1,777	1,645	2,441	2,018	1,335
Operating Income	2,580	2,580	2,613		4,555	4,227	3,897	8,514	7,778	7,617	22,487	19,065	18,565
Operating Margin	56.0%	56.0%	56.5%		67.3%	64.7%	65.5%	50.9%	49.1%	48.1%	66.0%	67.6%	65.7%
Pretax Income	2,550	2,550	2,544		4,525	4,197	3,937	8,378	7,642	7,491	22,367	18,945	18,691
Provision for Income Taxes	357	357	359	325-375	634	588	726	1,145	1,042	1,149	3,355	2,842	3,335
Tax rate	14.0%	14.0%	14.1%		14.0%	14.0%	18.4%	13.7%	13.6%	15.3%	15.0%	15.0%	17.8%
Net Income	2,193	2,193	2,193		3,892	3,609	3,194	7,233	6,600	6,436	19,012	16,103	15,457
EPS - PF Diluted	\$13.97	\$13.97	\$ 14.12	\$12.00-\$14.00	\$24.79	\$22.99	\$ 20.09	\$46.74	\$42.65	\$ 41.58	\$120.33	\$101.92	\$ 96.92

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, FactSet

Recap from recent Investor meetings published on March 26: [Sandisk Corp \(SNDK.O\) – Investor Mtg Takeaways: Durable Demand Outlook; eSSD Ramp Ahead; Disciplined Focus on Optimizing Business Model. Reit Buy](#)

We hosted SNDK's CEO/CFO/IR for investor meetings. Mgmt seemed highly confident in NAND demand durability on continued datacenter demand strength and expanding AI workloads. Longer-term, increasingly higher-quality customer contracts should smooth historical cycle volatility and support cash generation. We believe pricing has not yet peaked, with industry data pointing to strong near-term ASP increases. Visibility continues to improve on higher-quality deal mix, plus eSSD qualifications support incremental demand visibility. The company's \$1B private investment in Nanya secures multi-year DRAM supply ahead of mid-CY26 eSSD ramp. TurboQuant is viewed as supportive of broader AI adoption and ultimately storage. We remain constructive on SNDK shares as demand durability, favorable pricing, strong FCF generation ability, debt reduction, and disciplined capital investments should bode favorably for the company. Reiterate Buy.

Highly Confident in Demand Durability Given AI Momentum – Mgmt came across as incrementally more confident in the durability of demand, particularly on continued hyperscaler strength and ongoing traction of AI-related workloads, and its own efforts focusing on favorable deal economics, supportive of cash generation. Increasing qualifications of its eSSD products are yielding subsequent and incremental visibility into customer demand, adding confidence to its demand sustainability observations.

Customer conversations/negotiations indicate emphasis on prioritizing access to NAND supply over price. SNDK's management is focused on strategic relationships that incorporate longer durations (supporting demand durability) with pricing that incorporates some fixed- or floating-price characteristics, which help to smooth out cycle impacts. Price discovery is still underway and, to us, this suggests pricing has room to tick up further. We note TrendForce, as of late March, expects C2Q total NAND ASP to rise 70-75%qq following an 85-90%qq rise in the prior quarter. This comes on the heels of strong industry earnings just a week ago where [we had raised estimates on SNDK](#).

Nanya Investment Secures DRAM Supply and Supports Coming eSSD Ramp – The primary reason for the private-placement investment (\$1B for Sandisk, or 3.9% of Nanya's outstanding common stock) is to secure stable DRAM supply required for SSD production, particularly its forthcoming eSSDs, which are planned to ramp in mid-CY26. DRAM functions as a cache in high-performance SSDs. We note that unlike many of its integrated competitors, Sandisk does not produce its own DRAM, where this investment in Nanya would mitigate this strategic dependency and help secure the supply of necessary components for it to remain competitive in the eSSD market.

Google TurboQuant Viewpoint Differences – Essentially a compression technology, management sees the TurboQuant benefit as a hyperscaler ROI enhancer; helping to more efficiently scale AI further, and which would then potentially promote broader adoption of AI workloads. In this scenario, lower memory requirements could then be offset by higher overall AI adoption and ultimately support inference-led storage demand rather than weaken it. This is counter to the initial market reaction, which was instead focused on the short-term view that more efficient AI models would simply reduce memory demand. See also [Artificial Intelligence - Google's TurboQuant is AI's Latest Step in Addressing Constraints](#).

Capital Allocation – Mgmt was constructive on its FCF generation resulting in expected shareholder returns in the future.

SNDK continues to invest for growth and expanded its JV contract, which requires some cash over time. On January 29, the company committed to an extension of its Kioxia JV (Yokkaichi plant) from its previous expiration in 2029 through 2034. As part of this extension, Sandisk agreed to pay Kioxia a total of \$1.165B in scheduled installments between 2026 and 2029. We add that Sandisk has invested sufficient capital to support its current mid- to high-teen bit growth expectations; however, the company has additional EB flexibility via additional technology node transitions, which would not require significant incremental investment.

Additionally, SNDK reduced debt to \$650M at the end of last quarter, from \$1.9B post-separation from WDC in mid-2025, and had achieved a net-cash positive position in F1Q26 (ending Sept. 2025), approximately six months ahead of the target the company had previously established during its February 2025 investor day. Mgmt indicated its intention to continue to reduce that over time, followed by shareholder returns (which we believe may include a small amount of dividends) given its strong cash generation ability.

Seagate Technology Holdings PLC (STX.N)

Buy | TP US\$595.00 from US\$480.00 | Price US\$503.04 (10 Apr 26 16:00)

We maintain our Buy rating on STX shares. Our FY26 EPS estimate increases to \$13.39 from \$13.03, and our FY27 estimate increases to \$23.22 from \$21.81 reflecting continued robust Cloud HDD demand and pricing environment, paired with a slightly better MarQ opex outlook and recent debt reduction positively impacting interest expense, as well as continued indications of persistent pricing and continued constructive supply/demand fundamentals. We update our target price to \$595 from \$480, on 21x F24M PE (from 18x prior, on more durable pricing and demand datapoints) applied to CY27 estimates, reflecting continued solid industry fundamentals. We note shares are currently trading at 20x-21x PE N24TM.

For F3Q26 (ending March) we model revenues of \$2.96B (+5%q/q, +37%y/y) vs Street of \$2.94B and guidance of \$2.9B +/- \$100M, while we model GM of 44.5% vs Street of the same, underpinned by mgmt confidence in HDD supply/demand fundamentals. We model EPS of \$3.52 vs guide of \$3.40 +/- \$0.20 and just above Street of \$3.48.

Looking ahead, the company continues to qualify additional CSPs and improve mix into higher-capacity drives, where higher-capacity units are typically at the top of the margin range, supportive of margins. Additionally, while Mozaic 4+ (44TB) is in production at two hyperscalers and initial shipments as of early March, mgmt expects the platform to be more impactful to 2HCY26 revenues, as more CSP quals are expected in the subsequent months. We note the mix shift is occurring at a disciplined pace, importantly, aligned with customers, so as to maintain supply/demand balance.

For F4Q26 (ending June) we model revenues of \$3.31B (+12%q/q, +35%y/y) vs Street of \$3.13B, GM of 46.0% vs Street at 45.5% on solid supply/demand fundamentals and slightly higher mix to higher-margin capacities, and EPS of \$4.11 vs Street at \$3.89. For FY26 (ending June) we model revenues of \$11.7B (+29%y/y), GM of 43.4%, and EPS of \$13.39, vs consensus of \$11.5B, 43.0%, and \$12.99 respectively, reflecting an increasing proportion of HAMR EBs shipped as the technology ramps at more hyperscalers.

Figure 4. Estimates vs Street

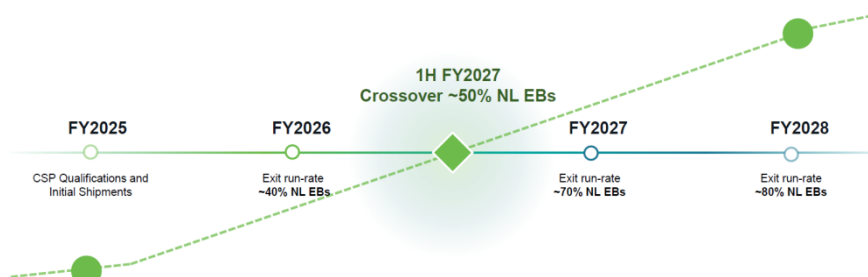
(in \$ millions, except for %, ASP, and EPS)	Q3-26E				Q4-26E				2026E				2027E			
	Citi	Citi Prior	Street	Guide	Citi	Citi Prior	Street		Citi	Citi Prior	Street	Guide	Citi	Citi Prior	Street	Guide
EB	195	195			213	213			780	780			968	968		
Eb qq	3%	3%			9%	9%			31%	31%			24%	24%		
\$/GB	\$0.014	\$0.014			\$0.015	\$0.014			\$0.014	\$0.014			\$0.015	\$0.014		
\$/GB qq	2%	0%			3%	0%			(1%)	0%			6%	0%		
Total Revenue	2,964	2,900	2,944	\$2.90B ± \$100M	3,310	3,165	3,130		11,729	11,519	11,531		15,355	14,455	14,483	
Change Q/Q	5%	3%			12%	9%			-	-			31%	25%	26%	
Change Y/Y	37%	34%			35%	29%			29%	27%	27%					
Gross Margin	44.5%	44.5%	44.5%		46.0%	45.5%	45.5%		43.4%	43.2%	43.0%	40% nearline EB vols HAMR	52.3%	51.8%	48.1%	1H FY27 50% nearline EB vols HAMR Exiting FY27 70% nearline EB vols HAMR
Opex	293	290	297	~\$290 million	307	310	305		1,181	1,181	1,139		1,266	1,282	1,249	
Operating Margin	34.7%	34.5%	34.4%	<mid-30s%	36.7%	35.7%	35.8%		33.3%	32.9%	33.1%		44.1%	42.9%	39.5%	
Pre tax Income	963.1	930.2	935.1		1,152.1	1,060.0	1,046.9		3,635.0	3,510.2	3,423.3		6,512.4	5,927.7	5,442.4	
Tax rate	16%	16%	16%	16%	16%	16%	16%		16%	16%	15%		16%	16%	16%	
Net Income	809.0	781.4	795.6		967.7	890.4	895.6		3,061.6	2,956.8	2,942.2		5,470.4	4,979.3	4,608.6	
Net Income Margin																
Diluted Shares	229.7	229.5	228.9	~230	235.7	229.5	230.5		228.6	227.0	226.5		235.6	228.3	230.9	
EPS - PF Diluted	\$3.52	\$3.40	3.48	\$3.40 ± \$0.20	\$4.11	\$3.88	3.89		\$13.39	\$13.03	12.99		\$23.22	\$21.81	19.96	

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, FactSet

Figure 5. Seagate HAMR Crossover - A Profitability Tailwind

Expect Mozaic (HAMR) to be a Majority of Nearline Exabytes by 1H FY2027, a Profitability Tailwind



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research

Recap from Feb 4 Investor Meetings with Seagate management: [Investor Mtgs Highlight Durable Demand, Favorable Pricing & Margin Improvement.](#)

We hosted STX investor meetings following its [strong earnings report](#) last week. The company sounded confident as it continues hyperscaler HAMR quals and volume ramp amid continued robust cloud demand with solid supply-demand fundamentals, and continued efforts transitioning cloud customers to higher capacities which bodes favorably for margin outlook given improving costs as capacities continue to mix upward and their second-gen HAMR Mozaic4+ ramps. Already with nearline capacity fully allocated through CY26, the company has qualified all major US CSPs, with demand conversations and customer visibility reaching into CY28, while mgmt expects nearer-term pricing/TB flat-to-up. Meanwhile, competitor WDC's [recent earnings](#) and [analyst day](#) similarly echoed advantageous industry supply/demand dynamics and a favorable pricing environment.

We adjust our estimates upward reflecting constructive pricing commentary which lifts our TP to \$595 from \$480 on unchanged 21x CY27 EPS estimates (from 18x previously) on more durable pricing and demand datapoints. We reiterate our Buy rating and add an Upside Short-Term View on STX shares.

Industry Demand Dynamics – Demand continues to be very strong and remains primarily from data center and public cloud, particularly on new data center buildouts and increasing adoption of AI applications and AI-related workloads. Higher demand is being driven by AI applications including video (potentially 200x greater by storage volume), synthetic data generation from existing data for robotics and autonomous vehicle training. Moreover, given the increasing traction of agentic AI applications, resultant and existing data are increasingly retained (instead of deleted) for both procedural duration and stockpiling in the hope of monetizing the data and producing ROI on costly AI investments.

The company pegs industry EB demand at approx. mid-20% CAGR for nearline storage, while unconstrained demand is generally considered much higher. That said, given the multiple components of a data center, Seagate endeavors to provide sufficient storage capacity to customers so as not to be a bottleneck, the growth rate of which the company pegs at the current mid-20% rate above and providing sufficient capacity without customers building inventory. Beyond new data centers, data center refresh remains a potential opportunity given the 5-6-year useful lifespan of current drives, as well as the opportunity to refresh the older pandemic-era drives.

The company continues to eschew unit capacity expansions in favor of areal density innovation (more bit per platter) and the ongoing transition to higher capacities per unit, which the company remains comfortable with in sufficiently supplying the mid-20% EB CAGR currently seen.

Pricing – Supply/demand dynamics remain solid, where the company is seeing pricing/TB flat-to-up. This is also reflected by WDC which also indicated similar pricing expectations longer-term at its [analyst day](#) this same week.

According to mgmt, HDD pricing remains largely independent of NAND pricing as the use cases for each remain different. Therefore, the datacenter architectures have not changed as a result, as reflected in the storage demand on increased buildouts, with HDD remaining ideal for storage and NAND more for applications.

Importantly, while customers have indeed shared demand visibility with Seagate as far as into CY28, the company prefers to primarily establish EB volumes, mix, and timing first for supply chain planning, and then finalize pricing in a rolling window of approx. 4-5 quarters to maintain pricing flexibility. For now, the company is not yet planning to set pricing beyond CY26, but will set prices during 1H26 for 1H27, or 12 months out. That said, the company does not plan to price too aggressively, otherwise risking customer storage optimizations. Plus with the current consolidated industry there is no need to price aggressively, according to mgmt.

HAMR Ramp – As of DecQ reporting the company has qualified all (5) major US CSPs (and 6 of the top 8 cloud customers) on Mozaic3+ (3TB platters), and had reported shipping 1M HAMR units in the SeptQ and 1.5M units in the DecQ. Meanwhile, the company's Mozaic4+ (4TB platters) qualifications are tracking to plan as of January and should ramp later in the MarQ as anticipated. Specifically, the company has qualified 2 major hyperscalers as of January, with the expectation of multiple CSP qualifications in the coming months. Mgmt added that the ramp from 3TB vs 4TB is relatively quicker at just over a year vs 18-24 months prior.

Overall, 40% of the company's nearline EBs shipped were HAMR in JunQ26, with the expectation of achieving EB crossover in 2HCY26, followed by 70% in JunQ27 and reaching 80% in JunQ28. Beyond Mozaic4+, the company has demonstrated 7TB/platter capability in its labs.

On an economic basis, Mozaic4+ BOM is similar to Mozaic 3+ according to the company, and cost declines should benefit on the ramp to Mozaic4+, where densities per drive increase but at lower cost/unit on efficiencies. Additionally, Mozaic4+ should see improved yields, with the company expecting more cost efficiencies. According to mgmt, this should benefit customers on the 1) the elimination of additional footprint for more capacity; utilizing the same physical space for higher capacities, and 2) improved cost/TB declines as unit cost increase remains fairly small while average capacity is ramping much higher, e.g. 30% more EB in transitioning from Mozaic3+ (3TB) to Mozaic4+ (4TB).

Capital Allocation – Management is focused over the next couple of quarters on managing dilution from its convertible debt and retiring the convertible debt. Consequently, we expect stock buybacks.

Western Digital (WDC.N)

Buy | TP US\$405.00 from US\$335.00 | Price US\$343.49 (10 Apr 26 16:00)

We maintain our Buy rating on WDC shares. Our FY26 EPS estimate increases to \$9.21 from \$9.01, and our FY27 estimate increases to \$15.62 from \$14.79 reflecting continued robust Cloud HDD demand and pricing environment, paired with recent SNDK shares redemption and subsequent debt reduction positively impacting interest expense, as well as continued indications of persistent pricing and continued constructive supply/demand fundamentals. We update our target price to \$405 from \$335, on 21x F24M PE (from 18x prior, on more durable pricing and demand datapoints) applied to CY27 estimates, reflecting continued solid industry fundamentals. We note shares are currently trading at 20x-21x PE N24TM.

Additionally we attended [WDC's Feb Analyst Day](#) where the company updated its prior Feb 2025 analyst day outlook, including updating product/technology roadmaps and new LT financial model. Key takeaways included mgmt confirmation of its second hyperscaler HAMR qualification in-process, as well as separately provided line-of-sight to 100TB drives with up to 140TB further out. Also the company raised LT financial model (3-5 years) to revenue growth 20%+, GM 50%+, OM 40%+, FCF margins of 30%+, and new LT EPS guide of \$20+/share. Please see our full note for more details.

For F3Q26 (ending March) we model revenues of \$3.26B (+8%q/q, +42%y/y) vs Street of \$3.08B and guidance of \$3.2B +/- \$100M, while we model GM of 47.5% vs 47.4% Street, underpinned by mgmt confidence in HDD supply/demand fundamentals. We model EPS of \$2.42 vs guide of \$2.30 +/- \$0.15 and above Street of \$2.36.

For F4Q26 (ending June) we model revenues of \$3.58B (+10%q/q, +37%y/y) vs Street at \$3.23B, while we model GM of 48.8% vs Street of 48.6%, and we model EPS of \$2.85 vs Street at \$2.67. For FY27 (ending June) we model revenues of \$16.69B (+32%y/y), GM of 53.4%, and EPS of \$15.62, vs consensus revenues of \$16.18B, GM of 50.9%, and EPS of \$13.72.

Figure 6. Estimates vs Street

(in \$ millions, except for %, ASP, and EPS)	Q3-26E Mar-26				Q4-26E Jun-26			FY 2026E				FY 2027E		
	Citi	Prior	Street	Guidance	Citi	Prior	Street	Citi	Prior	Street	Guidance	Citi	Prior	Street
EB	226	226			244	244		889	889			1,103	1,103	
EB qq	5.0%	5.0%			8.0%	8.0%		27.6%	27.6%			24.2%	24.2%	
\$/GB	\$0.014	\$0.014			\$0.015	\$0.015		\$0.014	\$0.014			\$0.015	\$0.015	
\$/GB qq	3.0%	2.0%			1.5%	1.5%		4.4%	3.8%			6.0%	5.5%	
Total Revenue	3,263	3,231	3,080	\$3.2B+/- \$100M	3,577	3,542	3,230	12,675	12,608	12,466		16,685	16,523	16,179
Change Q/Q	8.1%	7.1%			9.6%	9.6%								-
Change Y/Y	42.2%	40.9%			37.3%	36.0%		33.2%	32.5%	34.3%		31.6%	31.1%	29.8%
Total Gross Margin														
	47.5%	47.5%	47.4%	47%-48%	48.8%	48.8%	48.6%	46.7%	46.7%	46.6%		53.4%	53.1%	50.9%
Opex	385	385	314	\$380M-\$390	400	404	296	1,538	1,542	1,531		1,663	1,710	1,745
% of revs	11.8%	11.9%	10.2%		11.2%	11.4%	9.2%	12%	12%	12%		10%	10%	11%
Operating Income	1,165	1,150	1,146		1,344	1,323	1,274	4,384	4,348	4,277		7,246	7,063	
Operating Margin	35.7%	35.6%	37.2%		37.6%	37.4%	39.4%	34.6%	34.5%	34.3%		43.4%	42.7%	40.1%
Pretax Income	1,130	1,100	1,095		1,329	1,274	1,241	4,244	4,159	4,139		7,186	6,865	6,323
Provision for Income Taxes	181	176	180		213	204	206	679	666	666		1,150	1,098	1,066
Tax rate	16.0%	16.0%	16.5%	~ 16%	16.0%	16.0%	16.6%	16.0%	16.0%	16.1%	16-18%	16.0%	16.0%	16.9%
Net Income	949	904	902		1,116	1,050	1,027	3,527	3,416	3,416		6,036	5,687	5,266
EPS - PF Diluted	\$2.42	\$2.35	\$ 2.36	\$2.30 +/- \$0.15	\$2.85	\$2.73	\$ 2.67	\$9.21	\$9.01	\$ 8.93		\$15.62	\$14.79	\$ 13.72

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, FactSet

Takeaways from recent HDD Storage call hosted on April 6: [Persistent HDD Demand Persists, with Tight Supply at Least Through 2028](#)

On April 6, we hosted a call with HDD expert TrendFocus (John Chen - Vice President) following their recent Asia visit. (We note the expected NAND/SSD update was postponed to a later date due to expert scheduling.) We summarize the key takeaways inside based on the expert's opinion.

C1Q setup continues to appear solid on ongoing tight production and disciplined capacity, combined with persistent cloud demand. TrendFocus estimates industry supply to be approx. a couple hundred EBs behind demand for CY26 and continuing into CY27, at perhaps a 300EB shortfall, as they are only seeing datapoints pointing to strengthening cloud storage demand. Meanwhile, while some investors may point out a possible slowdown sometime in 2028 based on 5-6-year historical cycles, TrendFocus highlights that the market is so sufficiently underserved that it essentially mitigates any possible cycle impacts.

On demand, prior acceleration had come from underinvestment and cloud storage demand. However now demand stems from AI workloads coming into operation, further accelerating HDD demand. TrendFocus continues to see solid AI tailwinds, but cloud customers find it difficult to reveal what proportion of demand is strictly attributable to AI, while TrendFocus notes that training data is not being deleted, leading to a growth of input data, at least for now, before AI output ramps. Perhaps approx. 3pts of growth may be attributable to AI tailwinds, pointing to an overall +23% EB growth CAGR, according to our experts, with the caveat that demand could very well be higher than this.

While supply continues to fall short of demand, there does not appear to be any component constraints upon production. Particularly, there appears to be no helium supply impacts on production nor any signs of possible impacts. Expert checks point to sufficient helium supply, and with supplier diversification, though they continue to keep a close eye on the situation.

Additionally, TrendFocus sees very little in the way of supply upside this year and with some very small potential for upsides later this year, while supply upsides next year appear to be a possibility. However demand is seen to be actually accelerating beyond industry's upside capability, resulting in a widening supply/demand gap, however it is too early to quantify.

On pricing, value-based pricing appears now to be the norm, with TrendFocus anticipating mid- to upper-single-digit pricing yy, with EB volume upside at a premium, or well-above +10%yy. This is thought to be relatively realistic even contemplating blended pricing across different LTAs covering various rolling time periods.

Technology transitions/ramps appear on-track, with HAMR transition picking up steam and very favorable customer feedback obtained by our experts. Furthermore, customers are indicating good confidence in the technology thus far, with smooth quals. Meanwhile WDC's SMR technology remains competitive with its own HAMR developments, with a dual path that serves customers well, and high capacities at both SMR and HAMR and providing wanted options for customers.

Looking forward, it appears that most continue to be cautious, according to TrendFocus, reflecting steady disciplined investments until better visibility can be obtained. CY28 volumes are currently being discussed by customers. Our experts still see demand exceeding supply, with the market still remaining intact despite a possible correction, moreover our experts don't anticipate a supply/demand balance even within the next 3 years, notwithstanding further macro shocks, but overall with the market still very well positioned to absorb any shocks.

Valuation

Figure 7. Comps

Company FactSet Consensus	Ticker	Sales Growth		EV/S		EBITDA Margins		EV/EBITDA		EPS Growth		PE		P/BV
		NTM	N24M	NTM	N24M	NTM	N24M	NTM	N24M	NTM	N24M	NTM	N24M	
Micron	MU	151%	14%	3.3	2.9	80%	78%	4.1	3.7	273%	7%	5.3	5.0	4.1
Kioxia	285A-JP	215%	17%	3.2	2.7	72%	70%	4.4	3.8	NA	22%	6.3	5.2	13.2
Peer Group	Median	165%	16%	2.8x	2.4x	75.8%	73.8%	3.9x	3.5x	283%	17%	5.5x	5.0x	3.4x
		91%		2.6x				3.7x				5.3x		
Sandisk	SNDK	186%	11%	5.2	4.7	60%	58%	8.6	8.1	NA	5%	10.1	9.6	8.6x
Western Digital	WDC	42%	21%	8.7	7.2	42%	46%	20.6	15.5	27%	36%	27.1	19.9	12.5
Seagate	STX	37%	19%	8.6	7.2	39%	44%	21.7	16.4	108%	33%	27.3	20.5	67.8
		37%	20%	6.9x				15.1x				19.1x		

Source: FactSet

Adding Upside 90-Day Short-Term View on Seagate Technology Holdings PLC (STX.N)

Direction: Upside
Duration: Within 90 Days
Category: Earnings, Macro fundamentals, and Special situations

We open an Upside 90-Day ST View on STX shares on the continuation of solid supply/demand dynamics and improving pricing dynamics. AI demand continues to drive higher content creation, and is accelerating the generation of unstructured data, then stored, duplicated and versioned across collaboration platforms. Any improvement in KV caching is expected to further improve memory bottlenecks and drive growth in inferencing/storage. Moreover, we expect progressively meaningful GM ramp given the company's ramp of Mozaic 4+ beginning in MarQ and building into FY27. This constructive outlook comes on the heels of strong DecQ execution as the company continues to benefit from strong demand for its high-capacity drives, in addition to robust margins and a continued healthy pricing environment well-supported by limited production, ongoing hyperscaler HAMR qualifications, and where the company continues to undersell industry demand.

Adding Upside 90-Day Short-Term View on Western Digital (WDC.N)

Direction: Upside
Duration: Within 90 Days
Category: Earnings, Macro fundamentals, and Special situations

We open an Upside 90-Day ST View on WDC shares on the continuation of solid supply/demand dynamics and improving pricing dynamics. AI demand continues to drive higher content creation, accelerating generation of unstructured data, then stored, duplicated and versioned across collaboration platforms. Any improvement in KV caching is expected to further improve memory bottlenecks and drive growth in inferencing/storage. Moreover, we note at its Feb Analyst Day, the company raised its LT financial model (3-5 years) including FCF margins of 30%+, the cash flows from which the company plans to return to shareholders. This constructive outlook comes on the heels of strong DecQ execution as the company continues to benefit from strong demand of its high-capacity drives in addition to robust margins and a continued healthy pricing environment well-supported by limited production, demand visibility windows through CY26, CY27 and into CY28; and where the company continues to undersell industry demand.

Short-Term View on Sandisk Corp (SNDK.O)

Direction:	Upside
Duration:	Within 90 Days (expires 17 Jun 2026)
Date Added:	19 Mar 2026
Category:	Earnings, Macro fundamentals, and Special situations

We open an Upside 90-Day ST View on SNDK shares on favorable industry results/commentary on top of strong Dec qtr execution and solid near-term outlook as the company continues to benefit from strong demand reflecting hyperscaler eSSD demand momentum driving better pricing, robust margins, and eSSD-mix opportunity, paired with already-favorable and yet still improving industry fundamentals well-supported by limited production. We remain constructive on NAND fundamentals: industry remaining in tight production supply, with eSSDs benefiting from extremely strong hyperscale demand for generative-AI training/inferencing services, and with vendors working to improve profitability over coming quarters through price increases, while judiciously managing supply to expected demand.

Bull/Bear: Sandisk Corp (SNDK.O)

US\$1,200.00
▲ 41% Upside

US\$980.00
▲ 15% Upside

US\$620.00
▼ 27% Downside



Spread 68pp
Current Price and expected returns (upside/downside) as of 10 Apr 2026



BULL Assumptions

- Bull case assumes higher EB growth and improved EB pricing environment.



BASE Assumptions

- Base case as presented in current financial model.



BEAR Assumptions

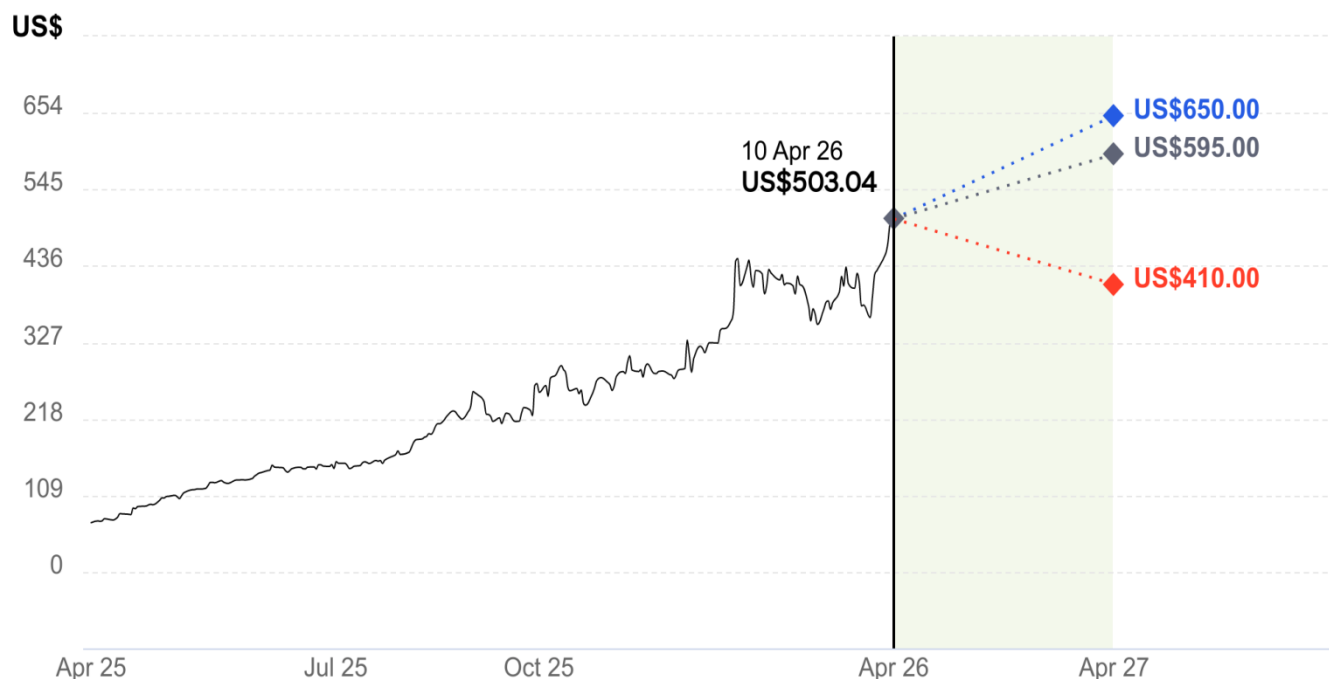
- Bear case assumes lower EB growth and degraded EB pricing environment.

Bull/Bear: Seagate Technology Holdings PLC (STX.N)

US\$ **650.00**
▲ 29% Upside

US\$ **595.00**
▲ 18% Upside

US\$ **410.00**
▼ 18% Downside



Spread 48pp
Current Price and expected returns (upside/downside) as of 10 Apr 2026

BULL Assumptions

- Higher revenues due to higher EB sold and more moderate pricing declines
- Higher margins as HAMR drives increased cost reductions

BASE Assumptions

- Base case is reflected in the model

BEAR Assumptions

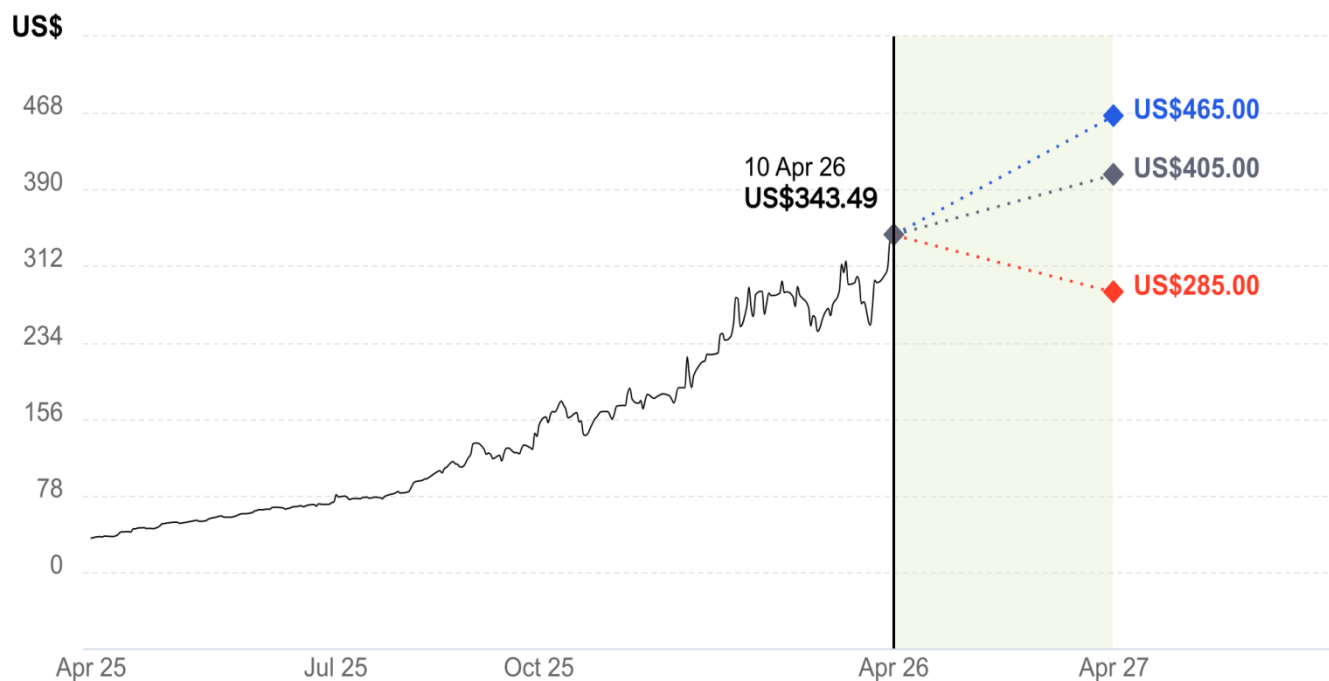
- Lower revenues due to lower EB sales and more severe pricing declines
- Lower margins as HAMR faces delayed/lower ramps

Bull/Bear: Western Digital (WDC.N)

US\$ **465.00**
▲ 35% Upside

US\$ **405.00**
▲ 18% Upside

US\$ **285.00**
▼ 17% Downside



Spread 52pp
Current Price and expected returns (upside/downside) as of 10 Apr 2026

BULL Assumptions

- Higher-than-expected EB sold with more moderate price declines
- Higher margins

BASE Assumptions

- Base case is reflected in the model

BEAR Assumptions

- Lower-than-expected EB sold with more severe price declines
- Lower margins

Sandisk Corp

Company description

Sandisk is a global data storage supplier of NAND flash solutions, including SSDs, memory cards, USB sticks, portable drives, and automotive. For Client customers, the company offers SSDs for the PC, mobile, gaming, automotive, VR, at-home entertainment, and industrial spaces. The company is primarily focused on increasing its share in Enterprise, targeting the Cloud and Data Center segment. The company also leverages its strong brand name to the Consumer end-market for retail and other end-user products, including memory cards, USB sticks, and portable drives. Sandisk was founded in 1988, was then owned by Western Digital from 2016 until its spinout in Feb 2025, and is headquartered in Milpitas, CA. Sandisk's long-standing flash production JV with Kioxia began in 2000 and is signed through 2034. The partnership provides for a steady supply of NAND flash, with each company a co-owner of the production facilities with an ownership split of 51% (Kioxia)/49% (SNDK).

Investment strategy

We rate Sandisk shares Buy as the company focuses on gaining share in the growing Enterprise SSD segment amidst a highly favorable S/D environment expected to persist through CY27, with limited cleanroom capacity situation supportive of pricing, plus durable underlying datacenter demand, coupled with its Bics8 qualifications serving as a competitive moat, and with ongoing mix to datacenter further benefiting margins longer-term. However, we remain prudently cautious on the potential for elevated price competition between key players during the process, particularly from Chinese players who remain aggressive on gaining share, and where currently underutilized industry capacity can very quickly reverse to oversupply within a small window, making the ideal conditions of price increases short-lived.

Valuation

Sandisk's peer set historically trades at (FactSet) median 3-4x EV/sales, and 9-10x P/E. Our target price for SNDK is \$980, where we value shares at 9x CY27 EPS, vs its closest competitor, Kioxia with median of 8-9x, as well as the larger peer group at 9-10x P/E. We note most peers have DRAM exposure while SNDK does not. That said, we note Sandisk additionally has an estimated \$15-20B in invested capital (replacement cost) within the JV that is not reflected in the company's financials.

Risks

Downside risks that could impede SNDK share price from reaching our target price include: 1) Sandisk's efforts to increase its share in the Enterprise taking longer than expected; 2) macro environment deteriorating and impacting datacenter spend, PC refresh, or AI-PC uptake; and 3) supply-demand imbalances or pricing competition causing volatile pricing fluctuations and significantly impacting margins.

When considering Citi's Quantative Risk Rating criteria, we do not rate SNDK shares as High Risk given Sandisk was already previously a publicly traded company and was simply spun out of Western Digital rather than as a new

IPO. And though it operates in a cyclical industry, Sandisk continues to be a successful, going concern with a reputable brand, IP assets, and an established JV.

Seagate Technology Holdings PLC

Company description

Seagate Technology is a global data storage supplier that generates >92% of revenue from the sale of hard disk drives (HDDs), with the remainder from non-HDD based storage (Enterprise Systems, Flash, and Other). The company's products include HDDs, solid state drives (SSDs), solid state hybrid drives, peripheral component interconnect express cards, serial advanced technology attachment controllers, storage subsystems, and computing solutions. As of the latest reported FY, Seagate's OEM customers accounted for 80% of its revenue, with Distributors and Retail customers accounting for 12% and 8% of revenue, respectively. Geographically, 49% of sales were generated in the Americas, 10% in EMEA, and 41% in Asia Pacific. Seagate was founded in 1978 and is headquartered in Dublin, Ireland, with executive offices in Fremont, CA, and had 30,000 employees as of June 2025.

Investment strategy

We rate Seagate shares a Buy. Our Buy rating is underpinned by our view of a cyclical recovery in the HDD market from enterprise/hyperscalers which, coupled with our view of AI-driven storage demand growth, rational capacity additions, and HAMR-led cost improvements, should enable Seagate to sustain higher revenue and earnings growth ahead and resume a higher pace of shareholder returns.

Valuation

Our target price for STX is \$595. We value STX at 21x CY27 EPS estimates, on more durable pricing and demand datapoints, and reflective of improving margins, continued execution, and both strong and improving HDD fundamentals.

Risks

Downside risks that could impede the stock price from reaching our target price include: 1) returning weakness in cloud/enterprise demand from macro-induced factors could curtail storage spending, and drive an imbalance in supply-demand dynamics and significant underutilization charges, as evidenced in recent quarters; 2) a decrease in SSD prices due to faster-than-expected HDD cannibalization by SSDs; 3) continued challenges in improving cost structure vs. the 10-15% historically; and 4) HAMR adoption stalls and competitive threats to Seagate's enterprise business from Western Digital's high-capacity drives.

Western Digital

Company description

Western Digital Corporation is a global data storage supplier of hard disk drives (HDDs). The company offers mobile drives for the notebook, PC, and gaming markets; serial attached small computer system interface drives; home video recorders; home network storage devices; and portable, desktop, and personal cloud storage. Western Digital was founded in 1970 and is headquartered in San Jose, CA.

Investment strategy

We have a Buy rating on Western Digital given our view of a cyclical recovery in the storage market, which, coupled with our view of AI-driven storage demand growth and rational capacity additions, should enable the company to sustain higher revenue and earnings growth ahead.

Valuation

Our target price for WDC is \$405 valued at 21x CY27 EPS estimates, in line with its market peer multiple given strong recent execution, demand visibility confidence, and continued outlook of solid and durable HDD supply/demand dynamics supportive of pricing and margins.

Risks

Downside risks that could impede the share price from reaching our target price include: 1) a weaker-than-expected HDD market given cloud demand does not meet prior expectations; and 2) Western Digital is unable to pay back portions of its approx. \$4.5bn net debt within given timeframes.

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

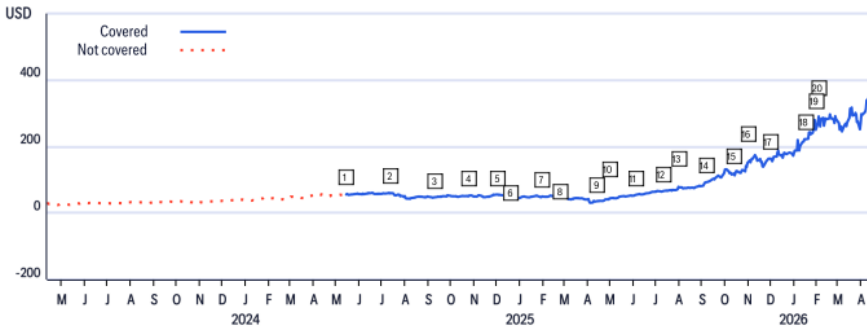
ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by “AC” in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Western Digital (WDC)
Ratings and Target Price History
Fundamental Research

Analyst: Asiya Merchant, CFA



	Date	Rating	Target Price	Closing Price
1	14-May-24 03:30:00	*1	*68.01	55.65
2	12-Jul-24 03:00:00	1	*71.79	59.61
3	09-Sep-24 19:32:14	1	*64.23	47.34
4	25-Oct-24 04:08:51	1	*65.74	52.48
5	02-Dec-24 18:28:07	1	*64.23	55.51
6	19-Dec-24 06:30:00	1	*61.96	45.06
7	30-Jan-25 01:59:33	1	*60.45	49.73

	Date	Rating	Target Price	Closing Price
8	24-Feb-25 17:12:10	1	*64.00	48.97
9	14-Apr-25 05:00:00	1	*48.00	35.81
10	30-Apr-25 21:49:48	1	*56.00	43.88
11	03-Jun-25 16:41:58	1	*62.00	53.75
12	11-Jul-25 04:00:00	1	*78.00	66.13
13	31-Jul-25 02:57:56	1	*88.00	78.66
14	07-Sep-25 21:24:48	1	*110.00	92.05

	Date	Rating	Target Price	Closing Price
15	13-Oct-25 00:10:56	1	*135.00	118.88
16	31-Oct-25 05:43:04	1	*180.00	150.26
17	01-Dec-25 23:07:43	1	*200.00	163.58
18	19-Jan-26 19:00:00	1	*280.00	221.52
19	30-Jan-26 03:14:41	1	*325.00	250.11
20	03-Feb-26 21:23:12	1	*335.00	290.34

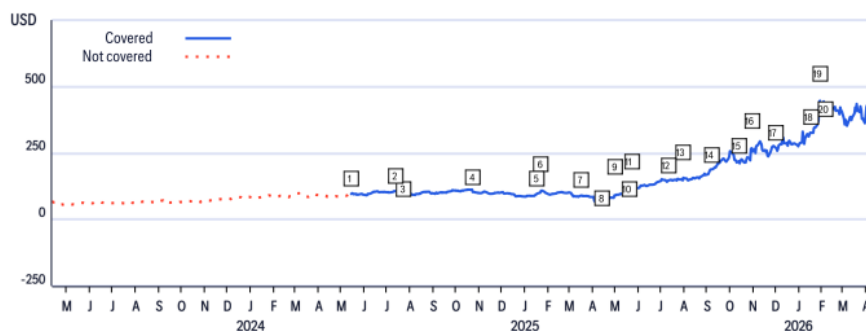
*Indicates Change

Rating/target price changes above reflect Eastern Time

Seagate Technology Holdings PLC (STX)

Ratings and Target Price History Fundamental Research

Analyst: Asiya Merchant, CFA



	Date	Rating	Target Price	Closing Price
1	14-May-24 03:30:00	*1	*110.00	96.24
2	12-Jul-24 03:00:00	1	*120.00	107.10
3	23-Jul-24 23:30:42	1	*125.00	105.35
4	23-Oct-24 01:19:09	1	*130.00	103.51
5	17-Jan-25 04:00:00	1	*120.00	97.68
6	21-Jan-25 23:07:17	1	*125.00	101.29
7	17-Mar-25 16:41:16	1	*115.00	90.52

	Date	Rating	Target Price	Closing Price
8	14-Apr-25 05:00:00	1	*90.00	72.61
9	30-Apr-25 01:28:25	1	*105.00	91.02
10	19-May-25 10:00:00	1	*125.00	109.07
11	23-May-25 02:34:09	1	*140.00	112.77
12	11-Jul-25 04:00:00	1	*170.00	147.20
13	30-Jul-25 01:37:03	1	*167.00	147.40
14	07-Sep-25 21:24:48	1	*215.00	188.10

	Date	Rating	Target Price	Closing Price
15	13-Oct-25 00:10:56	1	*250.00	219.56
16	29-Oct-25 03:00:31	1	*275.00	265.66
17	01-Dec-25 23:07:43	1	*320.00	270.09
18	19-Jan-26 19:00:00	1	*385.00	326.59
19	28-Jan-26 01:22:09	1	*460.00	443.04
20	05-Feb-26 19:00:00	1	*480.00	405.68

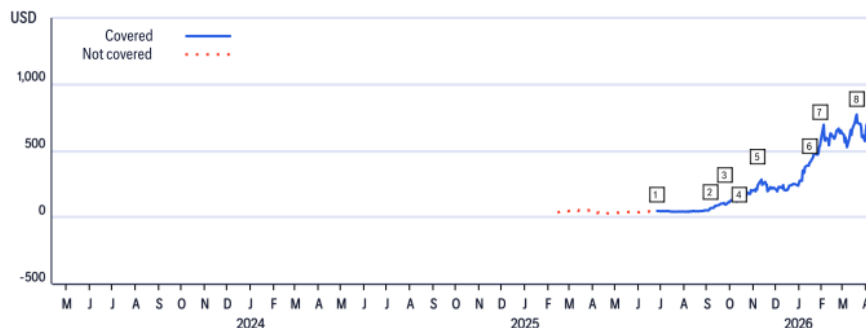
*Indicates Change

Rating/target price changes above reflect Eastern Time

Sandisk Corp (SNDK)

Ratings and Target Price History Fundamental Research

Analyst: Asiya Merchant, CFA



	Date	Rating	Target Price	Closing Price
1	26-Jun-25 04:00:00	*1	*57.00	47.44
2	07-Sep-25 21:24:48	1	*80.00	68.55
3	24-Sep-25 04:00:00	1	*125.00	99.83

	Date	Rating	Target Price	Closing Price
4	13-Oct-25 00:10:56	1	*150.00	134.61
5	07-Nov-25 00:50:25	1	*280.00	239.48
6	19-Jan-26 19:00:00	1	*490.00	413.62

	Date	Rating	Target Price	Closing Price
7	30-Jan-26 06:41:51	1	*750.00	576.25
8	19-Mar-26 06:19:51	1	*875.00	772.09

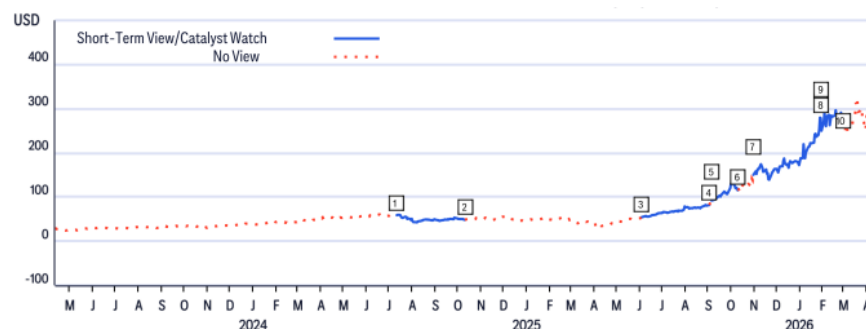
*Indicates Change

Rating/target price changes above reflect Eastern Time

Western Digital (WDC)

Short-Term View/Catalyst Watch Research

Analyst: Asiya Merchant, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	11-Jul-24 23:00:00	Add STV	Upside	90 Days	58.85
2	10-Oct-24 08:26:14	Remove STV	Upside	90 Days	48.38
3	03-Jun-25 12:41:58	Add STV	Upside	90 Days	53.75
4	02-Sep-25 08:16:05	Remove STV	Upside	90 Days	81.91

	Date	Action	Expected Direction	Duration	Closing Price
5	07-Sep-25 17:24:48	Add STV	Upside	90 Days	92.05
6	12-Oct-25 20:10:56	Remove STV	Upside	90 Days	115.37
7	31-Oct-25 01:43:04	Add STV	Upside	90 Days	150.26
8	29-Jan-26 06:11:50	Remove STV	Upside	90 Days	278.45

	Date	Action	Expected Direction	Duration	Closing Price
9	29-Jan-26 22:14:41	Add STV	Upside	30 Days	278.45
10	27-Feb-26 12:28:10	Remove STV	Upside	30 Days	279.65

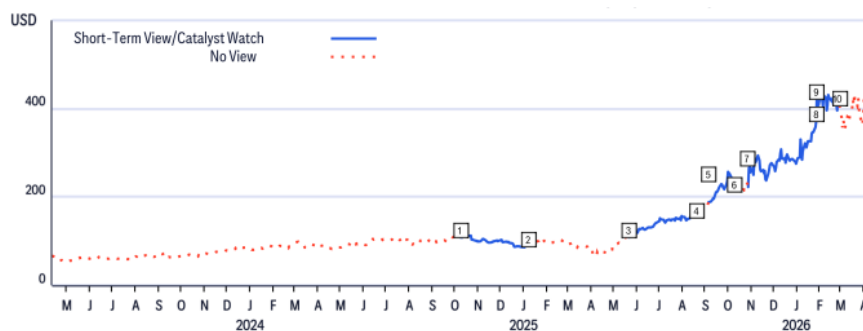
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Seagate Technology Holdings PLC (STX)

Short-Term View/Catalyst Watch Research

Analyst: Asiya Merchant, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	08-Oct-24 16:00:00	Add STV	Upside	90 Days	108.68
2	07-Jan-25 06:28:12	Remove STV	Upside	90 Days	89.54
3	22-May-25 22:34:09	Add STV	Upside	90 Days	108.67
4	21-Aug-25 08:19:08	Remove STV	Upside	90 Days	154.55
5	07-Sep-25 17:24:48	Add STV	Upside	90 Days	188.10
6	12-Oct-25 20:10:56	Remove STV	Upside	90 Days	214.40
7	28-Oct-25 23:00:31	Add STV	Upside	90 Days	222.59
8	27-Jan-26 06:11:49	Remove STV	Upside	90 Days	372.02
9	27-Jan-26 20:22:09	Add STV	Upside	30 Days	372.02
10	27-Feb-26 06:27:36	Remove STV	Upside	30 Days	407.87

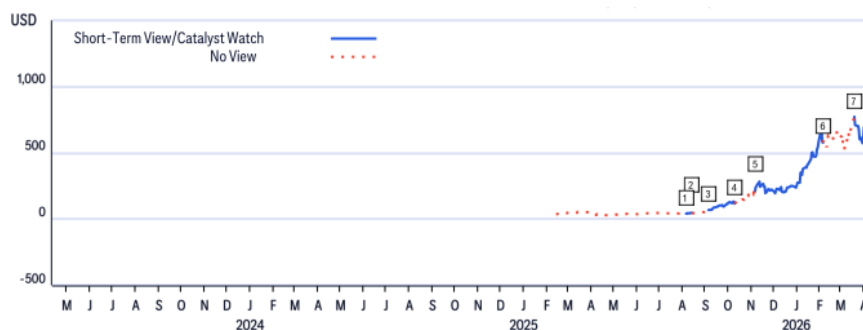
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Sandisk Corp (SNDK)

Short-Term View/Catalyst Watch Research

Analyst: Asiya Merchant, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	06-Aug-25 13:53:54	Add STV	Upside	90 Days	42.10
2	14-Aug-25 22:45:08	Remove STV	Upside	90 Days	46.68
3	07-Sep-25 17:24:48	Add STV	Upside	90 Days	68.55
4	12-Oct-25 20:10:56	Remove STV	Upside	90 Days	116.91
5	06-Nov-25 19:50:25	Add STV	Upside	90 Days	207.69
6	05-Feb-26 11:27:43	Remove STV	Upside	90 Days	576.20
7	19-Mar-26 02:19:51	Add STV	Upside	90 Days	772.09

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Citigroup Global Markets Inc. or its affiliates has a net long position of 0.5% or more of any class of common equity securities of Western Digital.

Within the past 12 months, Citigroup Global Markets Inc. or its affiliates has acted as manager or co-manager of an offering of securities of Sandisk Corp.

Citigroup Global Markets Inc. or its affiliates has received compensation for investment banking services provided within the past 12 months from Sandisk Corp.

Citigroup Global Markets Inc. or its affiliates received compensation for products and services other than investment banking services from Sandisk Corp, Seagate Technology Holdings PLC, Western Digital in the past 12 months.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as investment banking client(s): Sandisk Corp.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, securities-related: Sandisk Corp, Seagate Technology Holdings PLC, Western Digital.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, non-securities-related: Sandisk Corp, Seagate Technology Holdings PLC, Western Digital.

Citigroup Global Markets Inc. and/or its affiliates has a significant financial interest in relation to Sandisk Corp, Western Digital. (For an explanation of the determination of significant financial interest, please refer to the policy for managing conflicts of interest which can be found at www.citiVelocity.com.)

Analysts' compensation is determined by Citi Research management and Citigroup's senior management and is based upon activities and services intended to benefit the investor clients of Citigroup Global Markets Inc. and its affiliates (the "Firm"). Compensation is not linked to specific transactions or recommendations. Like all Firm employees, analysts receive compensation that is impacted by overall Firm profitability which includes investment banking, sales and trading, and principal trading revenues. One factor in equity research analyst compensation is arranging corporate access events between

institutional clients and the management teams of covered companies. Typically, company management is more likely to participate when the analyst has a positive view of the company.

For financial instruments recommended in the Product in which the Firm is not a market maker, the Firm is a liquidity provider in such financial instruments (and any underlying instruments) and may act as principal in connection with transactions in such instruments. The Firm is a regular issuer of traded financial instruments linked to securities that may have been recommended in the Product. The Firm regularly trades in the securities of the issuer(s) discussed in the Product. The Firm may engage in securities transactions in a manner inconsistent with the Product and, with respect to securities covered by the Product, will buy or sell from customers on a principal basis.

Unless stated otherwise neither the Research Analyst nor any member of their team has viewed the material operations of the Companies for which an investment view has been provided within the past 12 months.

For important disclosures (including copies of historical disclosures) regarding the companies that are the subject of this Citi Research product ("the Product"), please contact Citi Research, 388 Greenwich Street, 6th Floor, New York, NY, 10013, Attention: Legal/Compliance [E6WYB6412478]. In addition, the same important disclosures, with the exception of the Valuation and Risk assessments and historical disclosures, are contained on the Firm's disclosure website at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. Valuation and Risk assessments can be found in the text of the most recent research note/report regarding the subject company. Pursuant to the Market Abuse Regulation a history of all Citi Research recommendations published during the preceding 12-month period can be accessed via Citi Velocity (<https://www.citivelocity.com/cv2>) or your standard distribution portal. Historical disclosures (for up to the past three years) will be provided upon request.

Citi Research Equity Ratings Distribution

Data current as of 01 Apr 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	8%	37%	47%	16%
% of companies in each rating category that are investment banking clients	38%	41%	28%	42%	37%	36%

Guide to Citi Research Fundamental Research Investment Ratings:

Citi Research stock recommendations include an investment rating and an optional risk rating to highlight high risk stocks.

Risk rating takes into account both price volatility and fundamental criteria. Stocks will either have no risk rating or a High risk rating assigned.

Investment Ratings: Citi Research investment ratings are Buy, Neutral and Sell. Our ratings are a function of analyst expectations of expected total return ("ETR") and risk. ETR is the sum of the forecast price appreciation (or depreciation) plus the dividend yield for a stock within the next 12 months. The target price is based on a 12 month time horizon. The Investment rating definitions are: Buy (1) ETR of 15% or more or 25% or more for High risk stocks; and Sell (3) for negative ETR. Any covered stock not assigned a Buy or a Sell is a Neutral (2). For stocks rated Neutral (2), if an analyst believes that there are insufficient valuation drivers and/or investment catalysts to derive a positive or negative investment view, they may elect with the approval of Citi Research management not to assign a target price and, thus, not derive an ETR. Citi Research may suspend its rating and target price and assign "Rating Suspended" status for regulatory and/or internal policy reasons. Citi Research may also suspend its rating and target price and assign "Under Review" status for other exceptional circumstances (e.g. lack of information critical to the analyst's thesis, trading suspension) affecting the company and/or trading in the company's securities. In both such situations, the rating and target price will show as "—" and "—" respectively in the rating history price chart. Prior to 11 April 2022 Citi Research assigned "Under Review" status to both situations and prior to 11 Nov 2020 only in exceptional circumstances. As soon as practically possible, the analyst will publish a note re-establishing a rating and investment thesis. Investment ratings are determined by the ranges described above at the time of initiation of coverage, a change in investment and/or risk rating, or a change in target price (subject to limited management discretion). At times, the expected total returns may fall outside of these ranges because of market price movements and/or other short-term volatility or trading patterns. Such interim deviations will be permitted but will become subject to review by Research Management. Your decision to buy or sell a security should be based upon your personal investment objectives and should be made only after evaluating the stock's expected performance and risk.

Catalyst Watch/Short Term Views ("STV") Ratings Disclosure:

Catalyst Watch and STV Upside/Downside calls: Citi Research may also include a Catalyst Watch or STV Upside or Downside call to indicate the analyst expects the share price to rise (fall) in absolute terms over a specified period of 30 or 90 days in reaction to one or more specific near-term catalysts or events impacting the company or the market. A Catalyst Watch will be published when Analyst confidence is high that an impact to share price will occur; it will be a STV when confidence level is moderate. A Catalyst Watch or STV Upside/Downside call will automatically expire at the end of the specified 30/90 day period. The Catalyst Watch will also be automatically removed if share price performance (calculated at market close) exceeds 15% against the direction of the call (unless over-ridden by the analyst). The analyst may also remove a Catalyst Watch or STV call prior to the end of the specified period in a published research note. A Catalyst Watch/STV Upside or Downside call may be different from and does not affect a stock's fundamental equity rating, which reflects a longer-term total absolute return expectation. For purposes of FINRA ratings-distribution-disclosure rules, a Catalyst Watch/STV Upside call corresponds to a buy recommendation and a Catalyst Watch/STV Downside call corresponds to a sell recommendation. Any stock not assigned to a Catalyst Watch Upside, Catalyst Watch Downside, STV Upside, or STV Downside call is considered Catalyst Watch/STV No View. For purposes of FINRA ratings distribution-disclosure rules, we correspond Catalyst Watch/STV No View to Hold in

our ratings distribution table for our Catalyst Watch/STV Upside/Downside rating system. However, we reiterate that we do not consider No View to be a recommendation. For all Catalyst Watch/STV Upside/Downside calls, risk exists that the catalyst(s) and associated share-price movement will not materialize as expected.

RESEARCH ANALYST AFFILIATIONS / NON-US RESEARCH ANALYST DISCLOSURES

The legal entities employing the authors of this report are listed below (and their regulators are listed further herein). Non-US research analysts who have prepared this report (i.e., all research analysts listed below other than those identified as employed by Citigroup Global Markets Inc.) are not registered/qualified as research analysts with FINRA. Such research analysts may not be associated persons of the member organization (but are employed by an affiliate of the member organization) and therefore may not be subject to the FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Citigroup Global Markets Inc.

Michael Cadiz

Citigroup Global Markets Canada Inc.

Asiya Merchant, CFA

OTHER DISCLOSURES

Any price(s) of instruments mentioned in recommendations are as of the prior day's market close on the primary market for the instrument, unless otherwise stated.

The completion and first dissemination of any recommendations made within this research report are as of the Eastern date-time displayed at the top of the Product. If the Product references views of other analysts then please refer to the price chart or rating history table for the date/time of completion and first dissemination with respect to that view.

Regulations in various jurisdictions require that where a recommendation differs from any of the author's previous recommendations concerning the same financial instrument or issuer that has been published during the preceding 12-month period that the change(s) and the date of that previous recommendation are indicated. For fundamental coverage please refer to the price chart or rating change history within this disclosure appendix or the issuer disclosure summary at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

Citi Research has implemented policies for identifying, considering and managing potential conflicts of interest arising as a result of publication or distribution of investment research. A description of these policies can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

The proportion of all Citi Research research recommendations that were the equivalent to "Buy", "Hold", "Sell" at the end of each quarter over the prior 12 months (with the % of these that had received investment firm services from Citi in the prior 12 months shown in brackets) is as follows: Q4 2025 Buy 33% (63%), Hold 44% (50%), Sell 23% (46%), RV 0.4% (91%); Q3 2025 Buy 33% (61%), Hold 44% (52%), Sell 23% (50%), RV 0.4% (80%); Q2 2025 Buy 33%(63%), Hold 44% (51%), Sell 23% (49%), RV 0.4% (86%); Q1 2025 Buy 33%(63%), Hold 44% (51%), Sell 23% (49%), RV 0.5% (87%). For the purposes of disclosing recommendations other than for equity (whose definitions can be found in the corresponding disclosure sections), "Buy" means a positive directional trade idea; "Sell" means a negative directional trade idea; and "Relative Value" means any trade idea which does not have a clear direction to the investment strategy.

European regulations require a 5 year price history when past performance of a security is referenced. CitiVelocity's Charting Tool (https://www.citivelocity.com/cv2/#go/CHARTING_3_Equities) provides the facility to create customisable price charts including a five year option. This tool can be found in the Data & Analytics section under any of the asset class menus in CitiVelocity (<https://www.citivelocity.com/>). For further information contact CitiVelocity support (https://www.citivelocity.com/cv2/go/CLIENT_SUPPORT). The source for all referenced prices, unless otherwise stated, is DataCentral, which sources price information from LSEG Data & Analytics. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance.

Investors should always consider the investment objectives, risks, and charges and expenses of an ETF carefully before investing. The applicable prospectus and key investor information document (as applicable) for an ETF should contain this and other information about such ETF. It is important to read carefully any such prospectus before investing. Clients may obtain prospectuses and key investor information documents for ETFs from the applicable distributor or authorized participant, the exchange upon which an ETF is listed and/or from the applicable website of the applicable ETF issuer. The value of the investments and any accruing income may fall or rise. Any past performance, prediction or forecast is not indicative of future or likely performance. Any information on ETFs contained herein is provided strictly for illustrative purposes and should not be deemed an offer to sell or a solicitation of an offer to purchase units of any ETF either explicitly or implicitly. The opinions expressed are those of the authors and do not necessarily reflect the views of ETF issuers, any of their agents or their affiliates.

Citigroup Global Markets India Private Limited and/or its affiliates may have, from time to time, actual or beneficial ownership of 1% or more in the debt securities of the subject issuer.

Please be advised that pursuant to Executive Order 13959 as amended (the "Order"), U.S. persons are prohibited from investing in securities of any company determined by the United States Government to be the subject of the Order. This research is not intended to be used or relied upon in any way that could result in a violation of the Order. Investors are encouraged to rely upon their own legal counsel for advice on compliance with the Order and other economic sanctions programs administered and enforced by the Office of Foreign Assets Control of the U.S. Treasury Department.

This communication is directed at persons who are "Eligible Clients" as such term is defined in the Israeli Regulation of Investment Advice, Investment Marketing and Investment Portfolio Management law, 1995 (the "Advisory Law"). Within Israel, this communication is not intended for retail clients and Citi will not make such products or transactions available to retail clients or to non-Eligible Clients. The presenter is not licensed as investment advisor or investment marketer by the Israeli

Securities Authority ("ISA") and this communication does not constitute investment or marketing advice. The information contained herein may relate to matters that are not regulated by the ISA. Any securities which are the subject of this communication may not be offered or sold to any Israeli person except pursuant to a security offering exemption according to the Israeli Securities Law, 1968 and the public offering rules provided thereunder.

Citi Research broadly and simultaneously disseminates its research content to the Firm's institutional and retail clients via the Firm's proprietary electronic distribution platforms (e.g., Citi Velocity and various Global Wealth platforms). As a convenience, certain, but not all, research content may be distributed through third party aggregators. Clients may receive published research reports by email, on a discretionary basis, and only after such research content has been broadly disseminated. Certain research is made available only to institutional investors to satisfy regulatory requirements. The level and types of services provided by Citi Research analysts to clients may vary depending on various factors such as the client's individual preferences as to the frequency and manner of receiving communications from analysts, the client's risk profile and investment focus and perspective (e.g. market-wide, sector specific, long term, short-term etc.), the size and scope of the overall client relationship with the Firm and legal and regulatory constraints.

Pursuant to Comissão de Valores Mobiliários Resolução 20 and ASIC Regulatory Guide 264, Citi is required to disclose whether a Citi related company or business has a commercial relationship with the subject company. Considering that Citi operates multiple businesses in more than 100 countries around the world, it is likely that Citi has a commercial relationship with the subject company.

Securities recommended, offered, or sold by the Firm: (i) are not insured by the Federal Deposit Insurance Corporation; (ii) are not deposits or other obligations of any insured depository institution (including Citibank); and (iii) are subject to investment risks, including the possible loss of the principal amount invested. The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security. Any decision to purchase securities mentioned in the Product must take into account existing public information on such security or any registered prospectus. Although information has been obtained from and is based upon sources that the Firm believes to be reliable, we do not guarantee its accuracy and it may be incomplete and condensed. Note, however, that the Firm has taken all reasonable steps to determine the accuracy and completeness of the disclosures made in the Important Disclosures section of the Product. The Firm's research department has received assistance from the subject company(ies) referred to in this Product including, but not limited to, discussions with management of the subject company(ies). Firm policy prohibits research analysts from sending draft research to subject companies. However, it should be presumed that the author of the Product has had discussions with the subject company to ensure factual accuracy prior to publication. Statements and views concerning ESG (environmental, social, governance) factors are typically based upon public statements made by the affected company or other public news, which the author may not have independently verified. ESG factors are one consideration that investors may choose to examine when making investment decisions. All opinions, projections and estimates constitute the judgment of the author as of the date of the Product and these, plus any other information contained in the Product, are subject to change without notice. Prices and availability of financial instruments also are subject to change without notice. Notwithstanding other departments within the Firm advising the companies discussed in this Product, information obtained in such role is not used in the preparation of the Product. Although Citi Research does not set a predetermined frequency for publication, if the Product is a fundamental equity or credit research report, it is the intention of Citi Research to provide research coverage of the covered issuers, including in response to news affecting the issuer. For non-fundamental research reports, Citi Research may not provide regular updates to the views, recommendations and facts included in the reports. Notwithstanding that Citi Research maintains coverage on, makes recommendations concerning or discusses issuers, Citi Research may be periodically restricted from referencing certain issuers due to legal or policy reasons. Where a component of a published trade idea is subject to a restriction, the trade idea will be removed from any list of open trade ideas included in the Product. Upon the lifting of the restriction, the trade idea will either be re-instated in the open trade ideas list if the analyst continues to support it or it will be officially closed. Citi Research may provide different research products and services to different classes of customers (for example, based upon long-term or short-term investment horizons) that may lead to differing conclusions or recommendations that could impact the price of a security contrary to the recommendations in the alternative research product, provided that each is consistent with the rating system for each respective product.

Investing in non-U.S. securities, including ADRs, may entail certain risks. The securities of non-U.S. issuers may not be registered with, nor be subject to the reporting requirements of the U.S. Securities and Exchange Commission. There may be limited information available on foreign securities. Foreign companies are generally not subject to uniform audit and reporting standards, practices and requirements comparable to those in the U.S. Securities of some foreign companies may be less liquid and their prices more volatile than securities of comparable U.S. companies. In addition, exchange rate movements may have an adverse effect on the value of an investment in a foreign stock and its corresponding dividend payment for U.S. investors. Net dividends to ADR investors are estimated, using withholding tax rates conventions, deemed accurate, but investors are urged to consult their tax advisor for exact dividend computations. Investors who have received the Product from the Firm may be prohibited in certain states or other jurisdictions from purchasing securities mentioned in the Product from the Firm. Please ask your Financial Consultant for additional details. Citigroup Global Markets Inc. takes responsibility for the Product in the United States. Any orders by US investors resulting from the information contained in the Product may be placed only through Citigroup Global Markets Inc.

The Citigroup legal entity that takes responsibility for the production of the Product is the legal entity which the first named author is employed by.

The Product is made available in **Australia** through Citigroup Global Markets Australia Pty Limited. (ABN 64 003 114 832 and AFSL No. 240992), participant of the ASX Group and regulated by the Australian Securities & Investments Commission. Citigroup Centre, 2 Park Street, Sydney, NSW 2000. Citigroup Global Markets Australia Pty Limited is not an Authorised Deposit-Taking Institution under the Banking Act 1959, nor is it regulated by the Australian Prudential Regulation Authority.

The Product is made available in **Brazil** by Citigroup Global Markets Brasil - CCTVM SA, which is regulated by CVM - Comissão de Valores Mobiliários ("CVM"), BACEN - Brazilian Central Bank, APIMEC - Associação dos Analistas e Profissionais de Investimento do Mercado de Capitais and ANBIMA - Associação Brasileira das Entidades dos Mercados Financeiro e de Capitais. Av. Paulista, 1111 - 14º andar(parte) - CEP: 01311920 - São Paulo - SP.

This Product is available in **Chile** through Banchile Corredores de Bolsa S.A., an indirect subsidiary of Citigroup Inc., which is regulated by the Comisión Para El Mercado Financiero. Enrique Foster Sur, 20, piso 6, Las Condes, Santiago, Chile.

Disclosure for investors in the Republic of Colombia :This communication or message does not constitute a professional recommendation to make investment in the terms of article 2.40.1.1.2 of Decree 2555 de 2010 or the regulations that modify, substitute or complement it. Para la elaboración y distribución de informes de investigación y de comunicaciones generales de que trata este artículo no se requiere ser una entidad vigilada por la Superintendencia Financiera de Colombia.

The Product is made available in **Germany** by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht BaFin). Börsenplatz 9, 60313 Frankfurt am Main, Germany.

Unless otherwise specified, if the analyst who prepared this report is based in Hong Kong and it relates to "securities" (as defined in the Securities and Futures Ordinance (Cap.571 of the Laws of Hong Kong)), the report is issued in Hong Kong by Citigroup Global Markets Asia Limited. Citigroup Global Markets Asia Limited is regulated by Hong Kong Securities and Futures Commission. If the report is prepared by a non-Hong Kong based analyst, please note that such analyst (and the legal entity that the analyst is employed by or accredited to) is not licensed/registered in Hong Kong and they do not hold themselves out as such. Please refer to the section "Research Analyst Affiliations / Non-US Research Analyst Disclosures" for the details of the employment entity of the analysts.

The Product is made available in **India** by Citigroup Global Markets India Private Limited (CGM), which is regulated by the Securities and Exchange Board of India (SEBI), as a Research Analyst (SEBI Registration No. INH000000438). CGM is also actively involved in the business of merchant banking (SEBI Registration No. INM000010718) and stock brokerage ((SEBI Registration No. INZ000263033) in India, and is registered with SEBI in this regard. Registration granted by SEBI and certification from National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. CGM's registered office is at 1202, 12th Floor, First International Financial Centre (FIFC), G Block, Bandra Kurla Complex, Bandra East, Mumbai - 400098 & registered Tel: +91 22 61759999. Citi maintains robust policies, procedures, controls, and training to ensure continued compliance with all applicable rules and regulations. All recommendations contained herein are made by duly qualified research analysts. CGM's Corporate Identity Number is U99999MH2000PTC126657, and its Compliance Officer [Vishal Bohra] contact details are: Tel: +91-022-61759994, Fax: +91-022-61759851, Email: cgmcompliance@citi.com. The Investor Charter in respect of Research Analysts, the Compliance Audit Report and Complaints information can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. The grievance officer [Niraj Mody] contact details are Tel: +91-22-42775002, Email: EMEA.CR.Complaints@citi.com. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. SEBI prescribed Client Terms & Conditions can be found at <https://www.citivelocity.com/rendition/authfilelinksvcs/eppublic/V1/file?paramData=ZmlsZU5hbWU9L1MzL0dETVMvchVhRGZlY2xvc3VyZU9kbWxzL2dkaV9kaXNfc2VhV9UZXJtc29mVXNlMh0bWw>

The Product is made available in **Indonesia** through PT Citigroup Sekuritas Indonesia. Citibank Tower 10/F, Pacific Century Place, SCBD lot 10, Jl. Jend Sudirman Kav 52-53, Jakarta 12190, Indonesia. Neither this Product nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens wherever they are domiciled or to Indonesian residents except in compliance with applicable capital market laws and regulations. This Product is not an offer of securities in Indonesia. The securities referred to in this Product have not been registered with the Capital Market and Financial Services Authority (OJK) pursuant to relevant capital market laws and regulations, and may not be offered or sold within the territory of the Republic of Indonesia or to Indonesian citizens through a public offering or in circumstances which constitute an offer within the meaning of the Indonesian capital market laws and regulations.

The Product is made available in **Japan** by Citigroup Global Markets Japan Inc. ("CGMJ"), which is regulated by Financial Services Agency, Securities and Exchange Surveillance Commission, Japan Securities Dealers Association, Tokyo Stock Exchange and Osaka Securities Exchange. Otemachi Park Building, 1-1-1 Otemachi, Chiyoda-ku, Tokyo 100-8132 Japan. In the event that an error is found in an CGMJ research report, a revised version will be posted on the Firm's Citi Velocity website. If you have questions regarding Citi Velocity, please call (81 3) 6270-3019 for help.

The product is made available in the **Kingdom of Saudi Arabia** in accordance with Saudi laws through Citigroup Saudi Arabia, which is regulated by the Capital Market Authority (CMA) under CMA license (17184-31). 2239 Al Urubah Rd - Al Olaya Dist. Unit No. 18, Riyadh 12214 - 9597, Kingdom Of Saudi Arabia.

The Product is made available in **Korea** by Citigroup Global Markets Korea Securities Ltd. (CGMK), which is regulated by the Financial Services Commission, the Financial Supervisory Service and the Korea Financial Investment Association (KOFIA). The address of CGMK is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. KOFIA makes available registration information of research analysts on its website. Please visit the following website if you wish to find KOFIA registration information on research analysts of

CGMK. <http://dis.kofia.or.kr/websquare/index.jsp?w2xPath=/wq/fundMgr/DISFundMgrAnalystList.xml&divisionId=MDISO3002002000000&serviceld=SDISO30020020000>. The Product is made available in Korea by Citibank Korea Inc., which is regulated by the Financial Services Commission and the Financial Supervisory Service. Address is Citibank Center, 50 Saemun-ro, Jongno-gu, Seoul 03184, Korea. This research report is intended to be provided only to Professional Investors as defined in the Financial Investment Services and Capital Market Act and its Enforcement Decree in Korea.

The Product is made available in **Malaysia** by Citigroup Global Markets Malaysia Sdn Bhd (Registration No. 199801004692 (460819-D)) ("CGMM") to its clients and CGMM takes responsibility for its contents as regards CGMM's clients. CGMM is regulated by the Securities Commission Malaysia. Please contact CGMM at Level 43 Menara Citibank, 165 Jalan Ampang, 50450 Kuala Lumpur, Malaysia in respect of any matters arising from, or in connection with, the Product.

The Product is made available in **Mexico** by Citi México Casa de Bolsa, S.A. de C.V., Grupo Financiero Citi México which is a wholly owned subsidiary of Citigroup Inc. and is regulated by Comisión Nacional Bancaria y de Valores. Prolongación Reforma 1196, 24 floor, Colonia Santa Fe, Alcaldía Cuajimalpa de Morelos, C.P. 05348, Ciudad de México.

The Product is made available in **Poland** by Biuro Maklerskie Banku Handlowego (DMBH), separate department of Bank Handlowy w Warszawie S.A. a subsidiary of Citigroup Inc., which is regulated by Komisja Nadzoru Finansowego. Biuro Maklerskie Banku Handlowego (DMBH), ul. Senatorska 16, 00-923 Warszawa.

The Product is made available in **Singapore** through Citigroup Global Markets Singapore Pte. Ltd. ("CGMSPL"), a capital markets services and Exempt Financial Advisor license holder, and regulated by Monetary Authority of Singapore. Please contact CGMSPL at 8 Marina View, 21st Floor Asia Square Tower 1, Singapore 018960, in respect of any matters arising from, or in connection with, the analysis of this document. This Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citi Private Bank, the Product is made available in Singapore by Citi Private Bank through Citibank, N.A., Singapore Branch. Citibank N.A., Singapore Branch is a licensed bank in Singapore that is regulated by the Monetary Authority of Singapore. Please contact your Private Banker in Citibank N.A., Singapore Branch if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citibank Singapore Limited ("CSL"), the Product is distributed in Singapore by CSL to selected Citigold/Citigold Private Clients. CSL provides no independent research or analysis of the substance or in preparation of the Product. Please contact your Citigold/Citigold Private Client Relationship Manager in CSL if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited investors as defined under the Securities and Futures Act (Cap. 289).

Citigroup Global Markets (Pty) Ltd. is incorporated in the **Republic of South Africa** (company registration number 2000/025866/07) and its registered office is at 145 West Street, Sandton, 2196, Saxonwold. Citigroup Global Markets (Pty) Ltd. is regulated by JSE Securities Exchange South Africa, South African Reserve Bank and the Financial Services Board. The investments and services contained herein are not available to private customers in South Africa.

The Product is made available in the **Republic of China (Taiwan)** through Citigroup Global Markets Taiwan Securities Company Ltd. ("CGMTS"), 14F, 15F and 16F, No. 1, Songzhi Road, Taipei 110, Taiwan, subject to the license scope and the applicable laws and regulations in the Republic of China (Taiwan). CGMTS is regulated by the Securities and Futures Bureau of the Financial Supervisory Commission of Taiwan, the Republic of China (Taiwan). No portion of the Product may be reproduced or quoted in the Republic of China (Taiwan) by the press or any third parties [without the written authorization of CGMTS]. Pursuant to the applicable laws and regulations in the Republic of China (Taiwan), the recipient of the Product shall not take advantage of such Product to involve in any matters in which the recipient may have conflicts of interest. If the Product covers securities which are not allowed to be offered or traded in the Republic of China (Taiwan), neither the Product nor any information contained in the Product shall be considered as advertising the securities or making recommendation of the securities in the Republic of China (Taiwan). The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security or financial products. Any decision to purchase securities or financial products mentioned in the Product must take into account existing public information on such security or the financial products or any registered prospectus.

The Product is made available in **Thailand** through Citicorp Securities (Thailand) Ltd., which is regulated by the Securities and Exchange Commission of Thailand. 399 Interchange 21 Building, 18th Floor, Sukhumvit Road, Klongtoey Nua, Wattana, Bangkok 10110, Thailand.

Disclosure for investors in the Republic of Turkey: The Product is made available in **Turkey** through Citibank AS which is regulated by Capital Markets Board. Tekfen Tower, Eski Büyükdere Caddesi # 209 Kat 2B, 23294 Levent, Istanbul, Turkey. Under Capital Markets Law of Turkey (Law No: 6362), the investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Comments and recommendations stated here rely on the individual opinions of the ones providing these comments and recommendations. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations. Furthermore, Citi Research is a division of Citigroup Global Markets Inc. (the "Firm"), which does and seeks to do business with companies and/or trades on securities covered in this research reports. As a result, investors should be aware that the Firm may have a conflict of interest that could affect the objectivity of this report, however investors should also note that the Firm has in place organisational and administrative arrangements to manage potential conflicts of interest of this nature.

In the **U.A.E.**, these materials (the "Materials") are communicated by Citigroup Global Markets Limited, DIFC branch ("CGML"), an entity registered in the Dubai International Financial Center ("DIFC") and licensed and regulated by the Dubai Financial

Services Authority ("DFSA", license #CLO221) to Professional Clients and Market Counterparties, as defined in DFSA regulations, only and should not be relied upon or distributed to Retail Clients. Financial products and/or services to which the Materials relate will only be made available to Professional Clients and Market Counterparties. Citigroup Global Markets Limited DIFC Branch registered address is Level 3, Gate District Building 02, Dubai International Financial Centre and can be contacted on +971 4 509 97 90.

The Product is made available in **United Kingdom** by Citigroup Global Markets Limited, which is authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA. This material may relate to investments or services of a person outside of the UK or to other matters which are not authorised by the PRA nor regulated by the FCA and the PRA and further details as to where this may be the case are available upon request in respect of this material. Citigroup Centre, Canada Square, Canary Wharf, London, E14 5LB.

The Product is made available in **United States and Canada** by Citigroup Global Markets Inc., which is a member of FINRA and registered with the US Securities and Exchange Commission. 388 Greenwich Street, New York, NY 10013.

Unless specified to the contrary, within EU Member States, the Product is made available by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht-BaFin).

The Product is not to be construed as providing investment services in any jurisdiction where the provision of such services would not be permitted.

Subject to the nature and contents of the Product, the investments described therein are subject to fluctuations in price and/or value and investors may get back less than originally invested. Certain high-volatility investments can be subject to sudden and large falls in value that could equal or exceed the amount invested. The yield and average life of CMOs (collateralized mortgage obligations) referenced in this Product will fluctuate depending on the actual rate at which mortgage holders prepay the mortgages underlying the CMO and changes in current interest rates. Any government agency backing of the CMO applies only to the face value of the CMO and not to any premium paid. Certain investments contained in the Product may have tax implications for private customers whereby levels and basis of taxation may be subject to change. If in doubt, investors should seek advice from a tax adviser. The Product does not purport to identify the nature of the specific market or other risks associated with a particular transaction. Advice in the Product is general and should not be construed as personal advice given it has been prepared without taking account of the objectives, financial situation or needs of any particular investor. Accordingly, investors should, before acting on the advice, consider the appropriateness of the advice, having regard to their objectives, financial situation and needs. Prior to acquiring any financial product, it is the client's responsibility to obtain the relevant offer document for the product and consider it before making a decision as to whether to purchase the product.

Card Insights. Where this report references Card Insights data, Card Insights consists of selected data from a subset of Citi's proprietary credit card transactions. Such data has undergone rigorous security protocols to keep all customer information confidential and secure; the data is highly aggregated and anonymized so that all unique customer identifiable information is removed from the data prior to receipt by the report's author or distribution to external parties. This data should be considered in the context of other economic indicators and publicly available information. Further, the selected data represents only a subset of Citi's proprietary credit card transactions due to the selection methodology or other limitations and should not be considered as indicative or predictive of the past or future financial performance of Citi or its credit card business.

Citi Research product may source data from dataCentral. dataCentral is a Citi Research proprietary database, which includes the Firm's estimates, data from company reports and feeds from LSEG Data & Analytics. The source for all referenced prices, unless otherwise stated, is DataCentral. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance. The printed and printable version of the research report may not include all the information <(e.g. certain financial summary information and comparable company data) that is linked to the online version available on the Firm's proprietary electronic distribution platforms.

Where included in this report, MSCI sourced information is the exclusive property of Morgan Stanley Capital International Inc. (MSCI). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be reproduced, disseminated or used to create any financial products, including any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. MSCI, Morgan Stanley Capital International and the MSCI indexes are services marks of MSCI and its affiliates. Where data is attributed to Morningstar that data is © 2026 Morningstar, Inc. All Rights Reserved. That information: (1) is proprietary to Morningstar and/or its content providers; (2) may not be copied or distributed; and (3) is not warranted to be accurate, complete or timely. Neither Morningstar nor its content providers are responsible for any damages or losses arising from any use of this information.

The Firm accepts no liability whatsoever for the actions of third parties. The Product may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the Product refers to website material of the Firm, the Firm has not reviewed the linked site. Equally, except to the extent to which the Product refers to website material of the Firm, the Firm takes no responsibility for, and makes no representations or warranties whatsoever as to, the data and information contained therein. Such address or hyperlink (including addresses or hyperlinks to website material of the Firm) is provided solely for your convenience and information and the content of the linked site does not in any way form part of this document. Accessing

such website or following such link through the Product or the website of the Firm shall be at your own risk and the Firm shall have no liability arising out of, or in connection with, any such referenced website.

© 2026 Citigroup Global Markets Inc. Citi Research is a division of Citigroup Global Markets Inc. Citi and Citi and Arc Design are trademarks and service marks of Citigroup Inc. and its affiliates and are used and registered throughout the world. All rights reserved. The research data in this report are not intended to be used for the purpose of (a) determining the price of or amounts due in respect of (or to value) one or more financial products or instruments and/or (b) measuring or comparing the performance of, or defining the asset allocation of a financial product, a portfolio of financial instruments, or a collective investment undertaking, and any such use is strictly prohibited without the prior written consent of Citi Research. Any unauthorized use, duplication, redistribution or disclosure of this report (the "Product"), including, but not limited to, redistribution of the Product by electronic mail, posting of the Product on a website or page, and/or providing to a third party a link to the Product, is prohibited by law and will result in prosecution. The information contained in the Product is intended solely for the recipient and may not be further distributed by the recipient to any third party.

ADDITIONAL INFORMATION IS AVAILABLE UPON REQUEST